

THE COMPLETE STOCK ANALYSIS PLAYBOOK

Technical Analysis + Fundamental Analysis — Top Finance Analyst Framework

Reference: Benjamin Graham | Warren Buffett | Peter Lynch | John Murphy | Stan Weinstein | Howard Marks | Damodaran | Joel Greenblatt | Pat Dorsey | Mark Douglas | Van Tharp | Richard Wyckoff | Thomas Bulkowski | William O'Neil

PART 1 — TECHNICAL ANALYSIS

CORE PHILOSOPHY OF TECHNICAL ANALYSIS

Technical Analysis rests on three foundational principles (John Murphy — Technical Analysis of the Financial Markets):

1. Price discounts everything — all known information is already reflected in price
2. Price moves in trends — a trend in motion is more likely to continue than reverse
3. History repeats — human psychology creates recurring patterns on charts

Before touching a chart, always ask three questions:

- What is the trend?
- Where is the price relative to value zones?
- What does the crowd currently believe?

Technical Analysis answers WHEN to buy and WHEN to sell. It is not about prediction — it is about probability management.

PHASE 1 — MULTI-TIMEFRAME STRUCTURE (TOP-DOWN ANALYSIS)

Always analyse macro to micro. Never the reverse.

Monthly / Weekly Chart → Identify primary trend direction using 200 EMA and major support/resistance zones

Daily Chart → Identify trade setup zones using 50 EMA and chart patterns

1H / 15-Minute Chart → Precision entry using candlestick patterns and volume confirmation

The weekly chart is the captain. The daily chart is the navigator. The intraday chart is the steering wheel. Never let the steering wheel override the captain.

PHASE 2 — STAGE ANALYSIS (Stan Weinstein — Secrets for Profiting in Bull and Bear Markets)

Every stock at every point in time lives in one of four stages:

Stage 1 — Accumulation

Price moves sideways after a downtrend. Institutions quietly accumulate. Volume is low and flat. 30-week MA flattens out. Retail investors are uninterested. This is the preparation zone.

Stage 2 — Advancing (The Only Stage to Buy Longs)

Price breaks above the 30-week MA on above-average volume. Higher highs and higher lows form. Moving averages slope upward. This is where the biggest gains are made. Only trade longs here.

Stage 3 — Distribution

Price moves sideways after an uptrend. Volume is high but price doesn't advance. Smart money is selling to retail. 30-week MA starts to flatten. This is the danger zone — never buy here.

Stage 4 — Declining (The Only Stage to Short)

Price breaks below the 30-week MA on volume. Lower highs and lower lows form. Only trade shorts here. Never try to catch a falling knife in Stage 4.

Rule: Only buy stocks in Stage 2. Only short stocks in Stage 4. Avoid everything else.

PHASE 3 — TREND IDENTIFICATION

A trend is only valid when price, structure, and momentum all agree simultaneously.

Price Structure

Uptrend = Higher Highs + Higher Lows

Downtrend = Lower Highs + Lower Lows

Sideways = Equal Highs + Equal Lows (range-bound)

Mark every swing high and swing low on the chart. These are your battlefield lines.

Moving Averages

20 EMA — Short-term momentum indicator. Price above = bullish bias. Price below = bearish bias.

50 EMA — Institutional positioning level. Major support in uptrends. Major resistance in downtrends.

200 EMA/SMA — The great dividing line. Above = bull market. Below = bear market.

Golden Cross = 50 MA crosses above 200 MA → long-term bullish signal

Death Cross = 50 MA crosses below 200 MA → long-term bearish signal

William O'Neil (How to Make Money in Stocks — CAN SLIM): The best growth stocks always respect their 10-week moving average during healthy uptrends. A weekly close below it on heavy volume is an early warning signal to reduce position.

ADX (Average Directional Index)

ADX above 25 → Strong trend exists. Trade with the trend.

ADX between 20 and 25 → Developing trend. Proceed with caution.

ADX below 20 → Choppy, range-bound market. Reduce position size. Avoid breakout trades.

PHASE 4 — SUPPORT AND RESISTANCE MAPPING

This is where most retail traders are lazy. Precision here separates professionals from amateurs.

How to Draw Levels That Matter

- Use weekly and monthly closing prices — not intraday wicks (wicks are noise)
- Mark zones, not lines (price respects areas, not precise numbers)
- Multiple touches = stronger level (the more times price respects a level, the more powerful it becomes)
- Previous All-Time Highs and All-Time Lows are the most powerful levels on any chart
- Round numbers (500, 1000, 2000) act as psychological magnets
- Gap zones from high-volume candles act as strong support/resistance

Volume Profile Integration

High Volume Nodes (HVN) = areas where most trading happened = strong support/resistance

Low Volume Nodes (LVN) = areas of thin trading = price moves fast through these zones

Point of Control (POC) = single price with highest volume traded = strongest magnet level

Mark Douglas (Trading in the Zone): Support and resistance levels are not lines — they are probability zones where the collective belief of market participants shifts. Think in distributions and probabilities, never in certainties.

PHASE 5 — VOLUME ANALYSIS

Volume is the truth serum of the market. Price tells you what happened. Volume tells you whether to believe it.

Richard Wyckoff Principle (covered in Anna Coulling — A Complete Guide to Volume Price Analysis):

Price Up + Volume Up = Genuine institutional buying. Bullish confirmation. Trust the move.

Price Up + Volume Down = Weak rally. Lack of conviction. Suspect the move. Don't chase.

Price Down + Volume Up = Heavy distribution OR capitulation selling. Key inflection point.

Price Down + Volume Low = Normal healthy pullback. Sellers are not aggressive. Potential buy zone.

Wyckoff's Four Phases of Market Cycle

1. Accumulation — Institutions buying at low prices while retail is fearful
2. Markup — Price advances as the crowd starts noticing and buying
3. Distribution — Institutions selling at high prices while retail is greedy
4. Markdown — Price declines as retail panic sells into institutional short positions

The entire game of the market is institutions accumulating before the crowd and distributing before the crowd. Volume is how you track their footprints.

PHASE 6 — MOMENTUM INDICATORS

Use indicators as confirmation only. Never use them as primary signals. Price is primary. Indicators are secondary.

RSI — Relative Strength Index (Period 14)

Measures the speed and magnitude of recent price movements.

RSI above 70 in a strong uptrend = Continuation signal, NOT a sell signal (Constance Brown — Technical Analysis for the Trading Professional). In strong bull markets, RSI can stay above 70 for extended periods.

RSI below 30 = Oversold. In strong downtrends, RSI stays below 30. Do not buy automatically.

RSI between 40–60 = Neutral zone.

Bullish Divergence = Price makes a lower low, RSI makes a higher low → powerful reversal signal

Bearish Divergence = Price makes a higher high, RSI makes a lower high → distribution signal

MACD — Moving Average Convergence Divergence (12, 26, 9)

Histogram expanding = momentum is building in the direction of the trend

Histogram contracting = trend is weakening, prepare for potential reversal

Signal line crossing above zero line = bullish momentum zone

Signal line crossing below zero line = bearish momentum zone
MACD divergence from price = high-probability reversal warning

Bollinger Bands (Period 20, 2 Standard Deviations)

Bollinger Squeeze = Bands narrow → volatility compression → explosive move incoming
(direction unknown)

Price riding the upper band = Strong uptrend in progress. Do not short.

Price riding the lower band = Strong downtrend in progress. Do not buy.

Price touches upper band then pulls back to middle band = Mean reversion in range-bound market

Breakout from squeeze on high volume = High conviction directional move

PHASE 7 — CHART PATTERN RECOGNITION

Thomas Bulkowski (Encyclopedia of Chart Patterns) — the most statistically rigorous work on chart patterns ever written. He backtested hundreds of patterns across decades of data.

Continuation Patterns (Trade With the Trend — Higher Probability)

Bull Flag / Bear Flag

The most statistically reliable continuation pattern (~68% success rate).

A sharp directional move (flagpole) followed by a tight, low-volume consolidation (flag).

Entry on breakout from the flag in direction of the original move on volume expansion.

Target = Height of the flagpole projected from breakout point.

Ascending Triangle (in uptrend)

Flat upper resistance + Rising lower trendline. Coiling price action.

Buyers are more aggressive each pullback. Breakout above resistance with volume.

Target = Height of triangle projected from breakout.

Cup and Handle (William O'Neil's signature pattern — CAN SLIM core)

A rounded bottom followed by a short consolidation (handle) near prior highs.

Volume dries up in handle. Breakout on high volume above handle resistance.

Best when occurring after a prior uptrend. Indicates institutional accumulation.

Symmetrical Triangle

Two converging trendlines. Neutral bias — breakout direction determines trade direction.

Volume contracts during formation. Explosive breakout on volume.

Reversal Patterns (Counter-Trend — Higher Risk, Use With Caution)

Head and Shoulders (Top)

Left shoulder + Head (highest point) + Right shoulder (lower than head).

Critical: Neckline must break on above-average volume to confirm.

Target = Distance from head to neckline, projected below neckline.

Right shoulder should form on lower volume than left shoulder.

Inverse Head and Shoulders (Bottom)

Mirror image at market bottoms. Same logic applied in reverse.

Neckline breakout on high volume is mandatory for confirmation.

Double Top

Two peaks at approximately the same price level.

Volume on second peak should be lower than first peak (distribution signal).

Confirmation on break below the trough between the two peaks.

Double Bottom

Two troughs at approximately the same price level.

Volume on second trough should be lower. Second low often higher than first (capitulation done).

Confirmation on break above the peak between the two troughs.

Wyckoff Spring

A false breakdown below support that quickly reverses. The classic bear trap.

Volume during the spring should be low. Recovery must be on expanding volume.

One of the highest-probability setups in all of technical analysis.

Bulkowski's Non-Negotiable Rules:

Never trade a pattern without confirming breakout volume.

Always calculate the measured price target before entering.

Failed patterns (breakouts that reverse) become high-probability trades in the opposite direction.

PHASE 8 — CANDLESTICK PATTERNS (KEY ONES ONLY)

Single Candle Signals:

Doji = Indecision. Neither buyers nor sellers in control. Context is everything.

Hammer = Bullish reversal at support. Long lower wick, small body.

Shooting Star = Bearish reversal at resistance. Long upper wick, small body.

Marubozu = Full conviction candle. No wicks. Strong buyers or sellers.

Two-Candle Signals:

Bullish Engulfing = Bullish candle completely engulfs prior bearish candle at support.

Bearish Engulfing = Bearish candle completely engulfs prior bullish candle at resistance.

Tweezer Bottoms / Tops = Two candles with identical highs or lows. Strong reversal signal.

Three-Candle Signals:

Morning Star = Three-candle bullish reversal. Down candle + small doji/inside candle + strong up candle.

Evening Star = Three-candle bearish reversal. Mirror image of morning star.

Three White Soldiers = Three consecutive bullish candles. Strong continuation signal.

Three Black Crows = Three consecutive bearish candles. Strong bearish continuation.

All candlestick patterns gain power when they form at key support/resistance zones with volume confirmation.

PHASE 9 — RISK MANAGEMENT AND POSITION SIZING

Van Tharp (Trade Your Way to Financial Freedom) and Ed Seykota (Market Wizards):
The best traders are not the ones with the best entries. They are the ones with the best risk management.

The R-Multiple System

Define 1R = your maximum acceptable loss per trade = 1% to 2% of total capital.

Every trade is measured in multiples of R.

Minimum acceptable Risk:Reward = 1:2. Prefer 1:3.

Position Size Formula:

Position Size = (Total Capital × Risk Percentage) ÷ (Entry Price – Stop Loss Price)

Example:

Capital = ₹10,00,000 | Risk = 1% = ₹10,000

Entry = ₹500 | Stop Loss = ₹480 | Risk per share = ₹20

Position Size = ₹10,000 ÷ ₹20 = 500 shares

Stop Loss Placement

Technical stop = just below the support level or pattern low (not arbitrary round numbers)

ATR-based stop = Entry minus 2x ATR (respects natural volatility of the stock)

Never move stop loss against the trade. You may trail it in your favour only.

Key Risk Management Rules

Never risk more than 2% of capital on any single trade.

Never hold more than 6-8 positions simultaneously (concentration kills or overtrading kills).

If drawdown exceeds 10% of capital, reduce position sizes by 50%.

If drawdown exceeds 20%, stop trading and review your system entirely.

A 50% loss requires a 100% gain to recover. Protect capital above all else.

PHASE 10 — PRE-TRADE CHECKLIST (NON-NEGOTIABLE)

Answer every question before entering any trade. If 2 or more are unchecked, do not trade.
Wait.

[] Trend confirmed on weekly AND daily timeframe?

[] Stock in Stage 2 (for longs) or Stage 4 (for shorts)?

[] Price at a high-probability support or resistance zone?

- ☐ Volume confirms the move (expansion on breakout, contraction on pullback)?
 - ☐ Minimum 2 indicators aligned with trade direction?
 - ☐ Clear chart pattern with measurable target?
 - ☐ Stop loss level defined before entry?
 - ☐ Position size calculated using 1-2% risk rule?
 - ☐ Risk:Reward minimum 1:2?
 - ☐ No major earnings, results, or macro event within 3 days?
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PART 2 — FUNDAMENTAL ANALYSIS

CORE PHILOSOPHY OF FUNDAMENTAL ANALYSIS

Benjamin Graham (The Intelligent Investor):

The market is a voting machine in the short run and a weighing machine in the long run. In the short run, price is driven by emotion, sentiment, and momentum. In the long run, price always converges to intrinsic value.

Warren Buffett: Price is what you pay. Value is what you get.

Howard Marks (The Most Important Thing):

First-level thinking asks "Is this a good company?" Second-level thinking asks "Is this a good company at a price that makes it a good investment?" These are entirely different questions. Only second-level thinking creates alpha.

Fundamental Analysis answers WHAT to buy and WHY to hold it with conviction.

PHASE 1 — BUSINESS UNDERSTANDING (BEFORE ANY NUMBERS)

Peter Lynch (One Up on Wall Street): Never invest in any idea you can't illustrate with a crayon.

The Five Questions to Answer Before Opening a Balance Sheet:

1. What does this company actually do? (Business clarity test)
2. How does it make money? (Revenue model test)
3. Who are its customers and why do they buy? (Demand stability test)
4. Who are its competitors and how intense is competition? (Competitive intensity test)
5. Why would customers not switch to a competitor? (Moat existence test)

If you cannot answer all five questions clearly and confidently — you do not understand the business. Do not invest until you do. This is non-negotiable.

Peter Lynch also classified stocks into six categories:

Slow Growers — Large, mature companies. Stable but low returns. Buy only if very cheap.

Stalwarts — Large companies growing at 10-12%. Provide safety. Sell when P/E gets stretched.

Fast Growers — Small aggressive companies growing at 20-25%. Greatest return potential. Greatest research required.

Cyclicals — Airlines, steel, autos. Timing is everything. Buy when industry is in downturn.

Turnarounds — Companies recovering from crisis. High risk, high reward. Need catalyst identification.

Asset Plays — Hidden assets not reflected in price. Real estate, patents, cash hoards.

PHASE 2 — MOAT ANALYSIS (THE SINGLE MOST IMPORTANT CONCEPT IN FUNDAMENTAL ANALYSIS)

Pat Dorsey (The Little Book That Builds Wealth):

A moat is a durable competitive advantage that protects a company's profits from competition over a long period of time. Without a moat, high profits attract competitors who eventually destroy those profits. With a moat, profits are protected for years or decades.

The Five Sources of Economic Moat

1. Network Effects (The Strongest and Rarest Moat) The product or service becomes more valuable as more people use it. Each new user creates value for all existing users. Almost impossible to displace once established. Examples: NSE (India's stock exchange), CDSL, payment networks, social platforms at scale.
2. Switching Costs Customers face significant pain, cost, time, or risk when attempting to switch to a competitor. They are effectively locked in. Not trapped by force — trapped by the economics of switching. Examples: TCS enterprise IT services, ERP systems like SAP, banking software, Tally for SMEs.
3. Cost Advantage Structural ability to produce goods or services at a lower cost than any competitor. Not temporary — must be structural. Sources include proprietary processes, superior locations, unique assets, or massive scale. Examples: Coal India (captive mines), Avenue Supermarts (lean cost structure), Reliance Industries (scale).
4. Intangible Assets Brands that command pricing power, patents that prevent copying, or regulatory licenses that prevent competition. The brand must allow the company to charge more, not just be well-known. Examples: Asian Paints (brand trust), Sun Pharma (patent portfolio), HDFC Bank (regulatory trust), luxury goods companies.
5. Efficient Scale Serving a niche market that is large enough for one or two players to earn good returns but too small to attract additional competition without destroying industry economics. Examples: CAMS (mutual fund registrar), BSE (exchange duopoly with NSE), specialised infrastructure assets.

The Moat Durability Test

Ask: "If a well-capitalised competitor had unlimited resources, could they replicate this competitive position within five years?"

No = Wide Moat. Buy and hold for years.

Possibly = Narrow Moat. Hold but monitor competitive dynamics closely.

Yes = No Moat. Trade only or avoid entirely for long-term investment.

PHASE 3 — FINANCIAL STATEMENT ANALYSIS

A. INCOME STATEMENT — Profitability and Growth Analysis

Analyse at minimum 5 years, preferably 10 years. One year of data tells you almost nothing.

Revenue Growth

Look for consistent double-digit growth. Erratic growth is a warning sign.

Distinguish organic growth (sustainable) from acquisition-driven growth (often destroys value).

Revenue growing fast in a declining industry is more valuable than slow revenue growth in a hot sector.

Gross Margin

Gross Profit divided by Revenue.

Expanding gross margins = improving pricing power or operating efficiency = moat strengthening.

Declining gross margins = pricing pressure from competition = moat weakening.

This is one of the earliest warning signs of a deteriorating competitive position.

EBITDA Margin

Earnings Before Interest, Tax, Depreciation, and Amortization divided by Revenue.

Strips out financing decisions and accounting choices. Shows pure operational performance.

Stable or expanding over time = operational efficiency improving.

Net Profit Margin (PAT Margin)

Profit After Tax divided by Revenue.

Compare to industry peers. A company with structurally higher margins than peers likely has a moat.

A company with structurally lower margins is fighting for survival.

EPS Growth (Earnings Per Share)

Profit After Tax divided by Number of Shares Outstanding.

Target: Consistent 15-20% CAGR over 5-10 years.

Beware EPS growth from share buybacks masking flat earnings growth.

Howard Marks (The Most Important Thing): Consistency beats magnitude. A company compounding earnings at 18% for ten years is vastly superior to one growing at 40% one

year and 5% the next. Compounding requires consistency above all else.

Red Flags on the Income Statement:

Revenue growing but margins shrinking → pricing power is absent, competition is winning

PAT growing but operating cash flow not growing → potential accounting manipulation

Other income forming more than 20% of total profit → core business is weak, not self-sustaining

Frequent extraordinary items or write-offs → management is using accounting to hide operational problems

B. BALANCE SHEET — Financial Strength and Stability

Benjamin Graham (Security Analysis): A company's balance sheet strength determines whether it survives a crisis to fight another day. Companies with strong balance sheets turn crises into opportunities. Companies with weak balance sheets turn mild downturns into existential threats.

Debt Analysis:

Debt to Equity Ratio below 1.0. Prefer below 0.5 for non-financial companies.

Interest Coverage Ratio (EBIT divided by Interest Expense) above 3x minimum. Prefer above 5x.

Debt to EBITDA below 3x. Above 4x is dangerous.

Net Debt to Equity — look at net debt (debt minus cash), not gross debt.

For financial companies (banks, NBFCs), use different metrics — Capital Adequacy Ratio, NPA ratios, CASA ratio.

Asset Quality:

Is goodwill a large percentage of total assets? Goodwill can be written off, destroying book value overnight.

Receivable days trending upward over time = collection problems or aggressive revenue recognition.

Inventory days rising = demand slowdown or product obsolescence risk.

Intangible assets growing fast = potential accounting inflation of asset base.

Return Metrics (The Most Important Balance Sheet Metrics):

Return on Equity (ROE) = PAT divided by Shareholders Equity. Target above 15% consistently.

Return on Capital Employed (ROCE) = EBIT divided by Capital Employed. Target above 15% consistently.

Return on Invested Capital (ROIC) = NOPAT divided by Invested Capital. The purest measure of business quality.

Joel Greenblatt (The Little Book That Beats the Market — The Magic Formula):

The two most important metrics in all of fundamental analysis are Return on Capital (measures business quality) and Earnings Yield (measures price). Buy high Return on Capital businesses at high Earnings Yield prices. This is the entire Magic Formula, and it has outperformed the market over decades.

Shareholders Equity Quality:

Book value per share growing consistently = retained earnings compounding = good capital allocation.

Frequent equity dilutions (new shares being issued) = management destroying shareholder value.

Consistent buybacks at reasonable prices = management is shareholder-friendly.

C. CASH FLOW STATEMENT — The Ultimate Truth Test

Revenue is vanity. Profit is sanity. Cash flow is reality.

The cash flow statement is where professional analysts spend the most time. It is the hardest statement to manipulate and therefore the most revealing.

Operating Cash Flow (OCF)

Cash generated from the core business operations.

Must be positive and growing consistently. Negative OCF from an established business is a serious warning.

Compare OCF to PAT. They should be roughly similar over time.

Free Cash Flow (FCF)

Operating Cash Flow minus Capital Expenditure.

This is the "real" earnings of the business — cash available for shareholders after maintaining and growing the business.

FCF is what ultimately funds dividends, buybacks, debt repayment, and acquisitions.

Target: FCF growing consistently and converting at a high rate from net profit.

FCF Conversion Ratio

Free Cash Flow divided by Net Profit.

Above 80% = high quality earnings. Cash is real.

Below 50% consistently = earnings quality is questionable. Investigate the gap.

Capex Intensity

Capital Expenditure divided by Revenue.

Low capex intensity = asset-light business model = higher FCF = more valuable business.

High capex intensity = capital hungry business = lower FCF = requires constant reinvestment to survive.

Sanjay Bakshi (India's most respected value investor): Always follow the cash. Accounting profits can be engineered through legitimate choices — revenue recognition policies, depreciation methods, inventory valuation. Cash in the bank cannot be fabricated. When profits and cash diverge consistently, believe the cash.

The Cash Flow Litmus Test:

If a company reports ₹500 Crore PAT but only ₹100 Crore Operating Cash Flow for three consecutive years, something is fundamentally wrong. Either receivables are ballooning, inventory is piling up, or accounting is aggressive. This requires immediate investigation before investing.

PHASE 4 — MANAGEMENT QUALITY ASSESSMENT

Lawrence Cunningham (The Essays of Warren Buffett):

Buffett says he looks for managers who are able, honest, and owner-oriented. The greatest business in the world in the wrong hands will systematically destroy shareholder value.

The right management in a mediocre business will often create unexpected value.

Capital Allocation Track Record

Has ROCE been consistently above the company's cost of capital? (If not, management is destroying value)

How has management deployed excess cash? Dividends, buybacks, or acquisitions?

Did past acquisitions create or destroy value? (Check acquisition price vs long-term returns)

Does management invest at the peak of cycles? (Classic value destroyer)

Promoter Behaviour (Critical for Indian Markets)

Promoter Holding Percentage — Stable or increasing = confidence. Rapidly declining = concern.

Promoter Pledging Percentage — High pledging means promoters have borrowed against their shares = financial stress = forced selling risk = avoid or underweight.

Related Party Transactions — Review the notes to accounts. Excessive RPTs = governance risk. Funds leaving the listed company for unlisted promoter entities is a major red flag.

Compensation levels — Is management paying themselves excessively relative to company size and performance?

Communication Quality and Honesty

Read five years of annual report letters and conference call transcripts.

Honest management acknowledges mistakes. Promotional management only celebrates wins.

Compare guidance given in previous years against actual results. Consistent overestimation = trust deficit.

Management that speaks in plain English and explains the business clearly is usually more trustworthy than management that hides behind jargon and complexity.

Nassim Taleb (Skin in the Game):

Promoters and management teams with high ownership stakes and no pledging have maximum personal skin in the game. They bear consequences of their decisions alongside shareholders. They think like owners, not like hired executives. This alignment of incentives is one of the most powerful qualitative factors in stock selection.

Philip Fisher (Common Stocks and Uncommon Profits — Scuttlebutt Method):

Talk to customers, suppliers, competitors, and ex-employees of the company. The best management quality insights come from the people who deal with management — not

from the management itself. Fisher's scuttlebutt approach revealed management quality that financial statements could never show.

PHASE 5 — INDUSTRY AND MACRO CONTEXT

No stock exists in isolation. The best company in a structurally declining industry will deliver mediocre returns. A mediocre company in a powerful structural tailwind will deliver surprising returns.

Porter's Five Forces (Michael Porter — Competitive Strategy)

Threat of New Entrants: How easy is it for new competitors to enter? High barriers = better industry.

Bargaining Power of Suppliers: Can suppliers squeeze company margins? Low supplier power = better.

Bargaining Power of Buyers: Can customers demand lower prices? Low buyer power = better.

Threat of Substitutes: Can customers switch to an entirely different product? Low substitution = better.

Intensity of Rivalry: How fiercely do existing competitors battle for market share? Low rivalry = better.

The best businesses for long-term investors operate in industries where all five forces are weak. Such industries are rare — which is why great long-term investments are rare.

Industry Life Cycle Analysis

Emerging Phase — High growth, high risk, few proven winners. Requires deep research.

Growth Phase — Consolidation happening. Leaders emerging. Best risk-reward window.

Mature Phase — Stable but slow growth. Moat quality determines winners.

Declining Phase — Structural decline. Avoid or short only.

Macro Overlay Factors (Cannot Be Ignored)

Interest rate cycle — Rates rising compresses valuation multiples, especially for growth stocks.

Rates falling expands multiples. Know where you are in the rate cycle.

Inflation — Benefits commodity, real estate, infrastructure. Hurts consumer discretionary, financials.

Currency — Depreciating rupee benefits exporters (IT, pharma), hurts importers (oil, electronics).

Government policy and regulation — Especially critical for pharma, banking, telecom, energy, infrastructure.

Geopolitical risks — Sector-specific impact (defence benefits, IT may face headwinds, oil is volatile).

PHASE 6 — VALUATION METHODS

Aswath Damodaran (The Little Book of Valuation):

Every asset has an intrinsic value. The job of the analyst is to estimate it — not precisely, but approximately right rather than precisely wrong. A range of intrinsic value estimates is far more honest and useful than a single false precision number.

Method 1 — Relative Valuation (Quick Screening Filter)

Price to Earnings Ratio (P/E) = Market Price per Share divided by Earnings Per Share

Compare to: Sector average, company's own 5-year historical average, and growth rate

High P/E is only justified by high, consistent, predictable earnings growth.

Price to Book Value (P/B) = Market Price per Share divided by Book Value per Share

Most useful for: Banks, NBFCs, insurance companies, capital-heavy industries.

P/B below 1 = market pricing assets below their book worth. Potential deep value.

EV to EBITDA = Enterprise Value divided by EBITDA

Enterprise Value = Market Cap + Total Debt – Cash

Most useful for: Capital-intensive businesses, comparing companies with different debt levels.

Strips out differences in depreciation policies and capital structures.

Price to Free Cash Flow = Market Cap divided by Free Cash Flow

Most useful for: Asset-light quality businesses. The purest valuation multiple.

Premium P/FCF justified only for high-moat, capital-light, growing businesses.

PEG Ratio = P/E Ratio divided by EPS Growth Rate

Peter Lynch's most important metric: PEG below 1 = potentially undervalued growth.

PEG between 1 and 1.5 = fairly valued.

PEG above 2 = paying significant premium for growth. Requires exceptional conviction.

A stock at 30x P/E growing at 30% = fairly valued.

A stock at 30x P/E growing at 10% = dangerously expensive.

A stock at 15x P/E growing at 25% = potentially very attractive.

Method 2 — Discounted Cash Flow Valuation (The Gold Standard)

Warren Buffett: A business is worth the present value of all the cash it will generate from now until the end of time, discounted back at an appropriate rate.

The DCF Formula:

Intrinsic Value = Sum of $[FCF \times (1 + \text{growth rate})^n \div (1 + \text{discount rate})^n]$ + Terminal Value

Where n = projection year from 1 to 10

Terminal Value = $FCF \text{ in Year 10} \times (1 + \text{terminal growth rate}) \div (\text{discount rate} - \text{terminal growth rate})$

Terminal growth rate = 4-5% maximum (should never exceed long-term GDP growth rate)

Discount rate (WACC) = 10-14% for Indian equities depending on company risk profile

Step-by-Step DCF Process:

Step 1: Project Free Cash Flow for 10 years using conservative assumptions (not management guidance)

Step 2: Apply a Terminal Growth Rate of 4-5% (perpetual growth assumption)

Step 3: Discount all cash flows back to present using WACC

Step 4: Sum all discounted cash flows + Terminal Value = Enterprise Value

Step 5: Add cash holdings, subtract total debt → Equity Value

Step 6: Divide Equity Value by total shares outstanding → Intrinsic Value per Share

Step 7: Compare Intrinsic Value to Current Market Price

Step 8: Buy only when market price is 30-40% below intrinsic value (Margin of Safety)

Critical DCF Rules:

Run three scenarios — Bull case, Base case, Bear case.

If even the bear case suggests the stock is cheap, conviction is highest.

Be most conservative in growth assumptions — optimism is the analyst's greatest enemy.

DCF is most sensitive to the terminal value assumption — small changes in terminal growth rate create massive swings in value. Be conservative.

Method 3 — Reverse DCF (Damodaran's Practical Hack)

Instead of calculating intrinsic value, ask the reverse question:

"What growth rate is the current market price already assuming for the next 10 years?"

If the stock at ₹2,000 implies 35% FCF growth compounded for 10 years — evaluate whether that is realistic given the business model, industry size, competitive position, and historical track record.

If the implied growth rate is unrealistic → stock is expensive regardless of how good the business appears.

If the implied growth rate is very conservative relative to company quality → stock may be cheap.

This is faster than building a full DCF and often more insightful.

The Margin of Safety Principle (Benjamin Graham — The Intelligent Investor)

Margin of Safety = Buying significantly below your estimate of intrinsic value.

Purpose: Protects against errors in your assumptions (and your assumptions will always be partially wrong).

Protects against unforeseen negative events.

Limits downside while preserving full upside.

Target: Minimum 30% discount to intrinsic value for average-quality businesses.

20% discount acceptable for exceptional moat businesses with high predictability.

Never pay a premium to intrinsic value expecting continued momentum — that is speculation, not investing.

PHASE 7 — THE COMPLETE FUNDAMENTAL SCORING FRAMEWORK

Score each parameter from 1 to 5. Maximum total score = 50.

Only invest with high conviction when total score exceeds 35 out of 50.

Business Understanding and Clarity — weight 10%

Can you explain the business simply? Is the revenue model transparent? Is the customer base stable?

Moat Width and Durability — weight 20%

Which of the five moat sources exist? How durable are they? What are the moat threats?

Revenue and Earnings Quality — weight 15%

Consistent growth? Expanding margins? EPS compounding reliably?

Balance Sheet Strength — weight 10%

Low debt? High interest coverage? Asset quality clean? Book value growing?

Cash Flow Conversion — weight 10%

OCF positive and growing? FCF conversion above 80%? Capex intensity low?

Management Quality — weight 15%

Honest communication? Good capital allocation? No pledging? Skin in the game? Aligned incentives?

Valuation vs Intrinsic Value — weight 15%

Margin of safety present? PEG reasonable? DCF or reverse DCF showing undervaluation?

Industry Tailwind — weight 5%

Structural growth drivers present? Porter's forces favourable? Policy environment supportive?

PHASE 8 — RED FLAGS THAT SHOULD STOP ANALYSIS IMMEDIATELY

If any of the following exist, investigate deeply before proceeding. These are disqualifying factors.

Auditor qualification or auditor resignation → financial statements may be unreliable

Frequent change of auditors → management hiding something from auditors

Promoter pledging above 50% → extreme financial stress and forced selling risk

Cash profits without corresponding cash flows for multiple years → potential fraud

Negative operating cash flow in a mature profitable business → receivables manipulation

Revenue concentrated in one related-party customer → not a real business

Management consistently missing guidance by wide margins → either incompetent or

deliberately misleading

Multiple round-tripping transactions in accounts → cash manipulation

Goodwill forming massive percentage of assets → acquisition price was unjustified, write-off risk ahead

Legal cases and regulatory actions mounting → governance and compliance failures

PART 3 — COMBINING FA AND TA: THE COMPLETE ANALYST'S EDGE

The synthesis of both disciplines is what separates the top 1% of investors from the rest.

Fundamental Analysis tells you WHAT to buy and builds your CONVICTION to hold through volatility.

Technical Analysis tells you WHEN to buy and WHERE to place your risk controls.

Without FA, TA trading is gambling with probabilities.

Without TA, FA investing is often buying fundamentally great stocks at technically dangerous prices.

The Ideal High-Conviction Trade Setup Requires All of the Following:

Fundamental Layer:

FA Score above 35 out of 50 on the scoring framework

Clear economic moat identified and confirmed

Management quality verified — no red flags

Valuation showing meaningful margin of safety (30%+ below intrinsic value)

Industry tailwind present or at minimum neutral

Technical Layer:

Stock in Stage 2 (Weinstein) — Primary uptrend confirmed on weekly chart

Price pulling back to a high-quality support zone (50 EMA, prior S/R, Fibonacci level)

Volume contracting on the pullback (sellers are not aggressive)

Bullish pattern forming at the support zone (bull flag, hammer, inverse H&S)

RSI at 40-50 range on daily chart — not overbought

ADX above 20 confirming trend exists

Risk Management Layer:

Stop loss set below the support zone being tested

Position size calculated: $\text{Capital} \times 1\text{-}2\% \text{ Risk} \div \text{Distance to stop}$

Risk:Reward minimum 1:2, prefer 1:3

No earnings announcement or major event within 5 trading days

When all three layers align simultaneously = Highest conviction, lowest risk, maximum reward setup.
This combination is rare. When it appears, it must be acted upon decisively.

REFERENCE LIBRARY — COMPLETE READING LIST

Technical Analysis Books

John Murphy — Technical Analysis of the Financial Markets (The Bible of TA)
Stan Weinstein — Secrets for Profiting in Bull and Bear Markets (Stage Analysis)
William O'Neil — How to Make Money in Stocks (CAN SLIM + Chart Patterns)
Thomas Bulkowski — Encyclopedia of Chart Patterns (Statistical Pattern Research)
Constance Brown — Technical Analysis for the Trading Professional (Advanced Indicators)
Anna Coulling — A Complete Guide to Volume Price Analysis (Wyckoff + Volume)
Mark Douglas — Trading in the Zone (Psychology and Probability)
Van Tharp — Trade Your Way to Financial Freedom (Position Sizing and R-Multiples)
Jack Schwager — Market Wizards (Mental Models of the World's Best Traders)
Edwin Lefevre — Reminiscences of a Stock Operator (Timeless Market Psychology)

Fundamental Analysis Books

Benjamin Graham — The Intelligent Investor (Margin of Safety, Mr. Market)
Benjamin Graham and David Dodd — Security Analysis (Deep Financial Statement Analysis)
Peter Lynch — One Up on Wall Street (Simple Business Analysis, PEG Ratio)
Peter Lynch — Beating the Street (Portfolio Management Insights)
Philip Fisher — Common Stocks and Uncommon Profits (Qualitative Analysis, Scuttlebutt)
Pat Dorsey — The Little Book That Builds Wealth (Moat Framework)
Joel Greenblatt — The Little Book That Beats the Market (Magic Formula: ROC + Earnings Yield)
Howard Marks — The Most Important Thing (Second-Level Thinking, Risk Management)
Lawrence Cunningham — The Essays of Warren Buffett (Capital Allocation, Management Quality)
Aswath Damodaran — The Little Book of Valuation (DCF and Valuation Methods)
Aswath Damodaran — Damodaran on Valuation (Advanced Valuation)
Michael Porter — Competitive Strategy (Porter's Five Forces, Industry Analysis)
Nassim Taleb — Skin in the Game (Incentive Alignment, Management Quality)

THE ANALYST'S MASTER SUMMARY

TECHNICAL ANALYSIS ONE-LINE TRUTH:

Find the trend. Wait for the zone. Let volume confirm. Risk a little to make a lot. Repeat with unwavering discipline.

FUNDAMENTAL ANALYSIS ONE-LINE TRUTH:

Find a business with a durable moat, run by honest owners, generating real cash, at a price that gives you a margin of safety — then wait.

COMBINED ANALYST'S CREED:

Know what you own and why you own it. Know exactly where you are wrong and get out when proven wrong. Know your price target and take partial profits when reached. Never confuse activity with results. The market rewards patience, preparation, and process — not opinions, emotions, or noise.

Document Compiled By: Stock Analysis Playbook Framework Sources:

Graham, Buffett, Lynch, Murphy, Weinstein, O'Neil, Bulkowski, Marks, Damodaran, Greenblatt, Dorsey, Douglas, Tharp, Wyckoff, Fisher, Porter, Taleb Scope: Complete Technical and Fundamental Analysis Reference for the Serious Investor